higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

NEW VENTURE CREATIONS
NQF LEVEL 4

22 NOVEMBER 2019

This marking guideline consists of 7 pages.

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SECTION A

QUESTION 1

1.1
1.1.1 D
1.1.2 D
1.1.3 C
1.1.4 B
1.1.5 A
1.1.6 C
1.1.7 A
1.1.8 B
1.1.9 D
1.1.10 D

(10 × 2) **[20]**

TOTAL SECTION A: 20

SECTION B

QUESTION 2

2.1
- Shoes
- Boots
- Sandals
- Belts
- Gloves
- Handbags
- Zips
- Travelling bags/ luggage
- Other leather products (Any 4 × 1) (4)

2.2
- Jabulani opened up a shop in the area his grandfather worked and did not move to a different area
- Which means the business is well known, therefore, it won't be a problem to him to get customers
- The location Jabulani chose is a few meters away from his home, which means that he spends less on commuting to work and he does not waste time in traffic.
- Already well known in the area (Any 3 × 2) (6)

2.3
- Make new customers aware of his existence
- To expand the business
- To remain known in the community
- So that the community knows what services he offers
- To increase sales
- To attract potential customers
- To be able to get money (Any 4 × 2) (8)

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2.4 2.4.1 Cash flow - Is the total amount of money being transferred into and out of a business

2.4.2 Profit - Is the difference between the cost of producing a product and the sales value generated from the sale of a product.

(2 × 2) (4)

2.5 2.5.1 VAT – Value Added Tax
2.5.2 PAYE – Pay As You Earn
2.5.3 UIF – Unemployment Insurance Fund
2.5.4 SITE – Standard Income Tax on Employees

(4 × 1) (4)

2.6 2.6.1 VAT – Tax for goods and services
2.6.2 UIF – Relief short-term tax paid to workers when they become unemployed or unable to work because of maternity, illness, etc

(2 × 2) (4)
[30]

QUESTION 3

3.1
- Helps to identify when cash is needed to avoid cash shortages
- To identify cash movement in the business
- To assist with planning and expansion of the business
- Can be used to apply for further financing (3 × 2) (6)

3.2 Breakeven point (units)✓ = fixed costs✓
selling price✓ – ✓ variable costs✓ (5)

3.3
- The amount borrowed
- The period of the loan
- The interest rate charged
- If the interest is compounded or simple
- If there is a lump sum to be paid at the end or not (Any 4 × 2) (8)

3.4 3.4.1 Costing is a method that the business uses to calculate the cost of its products or services✓✓

3.4.2 Pricing is the method that the business such as a manufacturer uses when it starts to manufacture or sell goods or services; this helps them to work out the selling price of the goods or services✓✓

(2 × 2) (4)

3.5
- High interest rates can influence the business.
- Interest rates may depend on government changes (if not fixed).
- Interest rates may increase causing your repayment to increase.
- Collateral may be required.
- Repayments take money out of businesses cash flow.
- Individuals may need to sign as surety in case the business is not being able to repay the loan.
- The business may fail but you still need to repay the loan. (4 × 2) (8)

3.6
- Rent
- Salaries
- Wages
- Water and electricity
- Glue
- Cotton
- Leather
- Stationery (Any 5 × 1) (5)

[36]

QUESTION 4

4.1
- To develop and maintain standard
- To protect themselves from lawsuits and to ensure good work ethics
- To protect the business and inform the employees of the company's expectations
- To set principles, goals, standards and actions
- To set out the key ethical values that guide behaviour
- To work as a unified body underlining the company's rules and procedures

(Any 4 × 2) (8)

4.2
- Marketing statements must be truthful and transparent
- Statements must meet standards laid down by its code of practice
- False advertising can be reported to the Advertising Standards Authority (ASA)
- Higher sales from satisfied customers
- Consumers are entitled to ethical, non-polluting, safe products and services, fair pricing, and advertising that do not mislead consumers.
- The organisation must behave ethically towards the public and community at large.
- It is unethical to spread rumours about competitors or steal and use their trade secrets.
- It is unethical to cut your prices to force weaker competitors out of the market. (Any 4 × 2) (8)

4.3
- Ensure all employees understand and apply the standards laid down.
- Check aspects of the business to ensure that activities are conforming to the expected standards.
- Implement processes to deal with deviations from the code and standards.

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(3 × 2) (6)

4.4
- Quoting incorrectly (over quoting)
- Giving incorrect change
- Using inferior products to repair items (so it breaks sooner)
- Not repairing the item properly (Any relevant 3 × 2) (6)

[28]

QUESTION 5

5.1
- SDA – Skills Development Act
- Companies Act or the Close Corporation Act
- Income Tax Act
- UIF – Unemployment Insurance Act

(Any relevant 4 × 1) (4)

5.2 According to the Labour Relations Act, the following examples apply to Jabulani's sector:
- Establishes guidelines for the conduct of the labour relationship
- Provides minimum regulations for conditions of employment
- Protects employees and employers as common law does not protect them
- Protects the health and safety of employees and employers
- Provides guidelines for the conduct of collective labour relationships

(Any relevant 4 × 2) (8)

5.3 Jabulani needs to manage this risk by avoiding✓✓ the employment/ hiring of the 15 year old since they are under-age✓ according to the Labour Relations Act/ Basic Conditions of Employment Act✓. (4) (4)

5.4
- Litigation
- Fines or financial penalties
- Payments to compensate for damages
- Voiding of contracts
- Damaged reputation
- Reduction in the value of the business
- Limited business opportunities
- Difficulty in enforcing contracts (Any 4 × 2) (8)

5.5
- It provides a form of insurance policy for employees
- It protects workers right to health and safety at work
- The employer contributes an amount based on the salaries and wages of the employees and the industry in which your business operates
- Safety representatives need to be appointed in the workplace (3 × 2) (6)

5.6
- Need to register with the UIF fund
- The employer and the employee each contribute 1% to the fund
- The employer must make payments to the UIF fund before the 7 of each month (2 × 2) (4)

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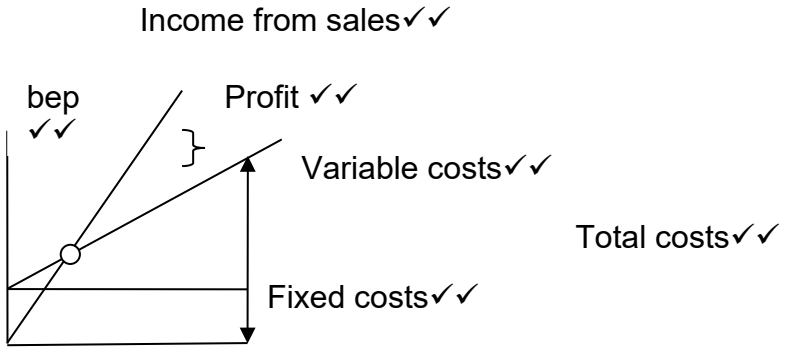
QUESTION 6

6.1
- Competitors – who are your competitors, where are they and what do they charge for the same product
- Demands of customers – what are your customers' requirements, what are they willing to pay for the product you offer
- Government and other external stakeholders – are there any new laws effecting businesses
- Lower competitor prices – you may have to reduce your price
- Higher competitor prices – people may think your product is not of a good quality
- Consumer expectations – what consumers expect for the price they pay
- Changes in currency rate – changes in world currency and precious metal prices
- Changes in interest rate – changes in interest rates
- Legislation – government regulations
- Consumer demand – consumers tastes differ and change with fashion

(Any 4 × 2) (8)

6.2
- Can only do so much in one day
- May get sick and be unable to work
- Only have a specific number of hours to work
- People will always try and get a reduced rate
- People want their items repaired quickly
- People do not come and fetch the items repaired (Any 4 × 2) (8)

6.3 Draw a break even graph showing the following: fixed costs, variable costs, total costs, income from sales, profit, break-even point.



(6 × 2) (12)

6.4
- Price of the products (is it reasonable priced for what it is)
- Quality of the products (is the quality relevant to the price)
- Delivery of the products (what are the costs involved)
- Reliability of the supplier (is the supplier able to deliver the quality and quantity required timeously)
- Availability of the product (is the product readily available when required)

(8)

(Any 4 × 2)

6.5
- Internet
- E-mail
- Newspapers
- Pamphlets
- Competitors
- Yellow pages
- Word of mouth
- Tenders
- Television

(Any relevant 4 × 1) (4)

6.6

INCOME AND EXPENDITURE STATEMENT OF JABULANI FOR THE MONTH END JANUARY 2020		
SALES		40 000✓
LESS COST OF SALES		12 000✓
GROSS PROFIT		**28 000✓**
LESS EXPENSES		**15 750✓**
SALARIES	10 000✓	
ADMINISTRATION FEES	3 000✓	
MARKETING & ADVERTISING	1 000✓	
INSURANCE	500✓	
RENT	750✓	
ELECTRICITY	500✓	
NET PROFIT		**12 250✓✓**

(12)
[52]

TOTAL SECTION B: 180
GRAND TOTAL: 200

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